GS III

Why don't higher interest rates always control inflation?

- Inflation measures the general increase in prices across the economy. Headline inflation includes food and fuel prices, while **core inflation** excludes these volatile components. When both measures rise, it can indicate that price pressures are spreading beyond temporary changes in individual commodities.

- The Reserve Bank of India uses monetary policy to influence borrowing costs and economic demand. Raising the **policy interest rate** can make loans more expensive, encouraging households and businesses to reduce borrowing and spending. Lower demand can gradually reduce pressure on prices.

- Interest-rate increases cannot directly resolve shortages caused by poor harvests, supply disruptions or higher imported fuel costs. These **supply-side pressures** may keep prices elevated even when borrowing becomes expensive. Monetary tightening can also slow investment and economic growth while attempting to control inflation.

- **Inflation expectations** influence how businesses set prices and how workers negotiate wages. If people expect prices to keep rising, their decisions can reinforce inflationary pressure. Central banks therefore consider future inflation risks, economic conditions and public expectations rather than responding only to the latest monthly figures.

Monetary policy can control demand-driven inflation, but persistent price pressures also require supply-side improvements. Interest-rate decisions must balance price stability with economic growth.